

Please Send Money

includes payments on credit cards, school, car, and other personal loans—but not first mortgages.

List Debts

(don't include mortgage payments)

Average Monthly Payments

\$

\$

\$

\$

\$

\$

\$

\$

\$

\$

1. Total your monthly debt payments

\$

2. Enter your monthly net income

\$

3. To calculate your debt percentage,

 %

divide #1 by #2

If the debt percentage is:

Under 10 to 15 percent Relax—Your debt to income percentage is well within acceptable guidelines.

15 to 20 percent Be cautious—You may want to reduce your current debt loan. Do not take on new debt.

Over 20 percent Danger—You are heavily in debt and should not under any circumstances take on additional debt!

Without the option of using her credit cards as a crutch, Perla panicked. For the first time, she was forced to confront the fact that her income was all the money she had available

